

MEMORANDUM OF UNDERSTANDING (MoU)

This Memorandum of Understanding (MOU) is made on **02 June 2022**, at Lucknow, Uttar Pradesh.

BETWEEN

Governor of Uttar Pradesh (GoUP) through Shri Navneet Sehgal, Additional Chief Secretary, Micro, Small, Medium Enterprises and Export Promotion Department, Government of Uttar Pradesh (hereinafter referred to as "GoUP") of one part;

AND

One97 Communications Limited, a company established under the Companies Act 2013, having its head office at B 121, Sector 5, Noida - 201 301, India (hereinafter referred to as "OCL", which expression shall, unless it be repugnant to the context or meaning thereof, be deemed to mean and include its successors and permitted assigns) of second part.

GoUP and OCL are herein after collectively referred to as "Parties" and individually as "Party".

WHEREAS ODOP (One District One Product) Cell is a programme implementation cell set up by Directorate of Industries, Government of Uttar Pradesh, to implement One District One Product programme of the State Government, having its principal office at Niryat Bhawan, First Floor, 8 Cantt Road, Qaiserbagh, Lucknow – 226001, Uttar Pradesh (hereinafter referred to as "ODOP Cell").

And WHEREAS, the GoUP and OCL agree on the importance of facilitating digital payment infrastructure for MSME sector, including artisans, craftsmen and micro-units; thus to create the relevant opportunities for cooperation for facilitating partnerships to empower artisans and to promote e-commerce & digital financial ecosystem in the state of Uttar Pradesh.



NOW, THEREFORE, THIS MoU WITNESSES as below:

I. **ROLES AND RESPONSIBILITIES:**

- a) The ODOP Cell and OCL are desirous to create mutual shared value for merchants/artisans and MSMEs working in ODOP-specific sectors in Uttar Pradesh, with a focus on increasing business and trade inclusion opportunities for these stakeholders.
- b) OCL as ODOP partner for the state of UP, shall facilitate the following:

Merchant Transactions

- i. **In-store Payments:** To promote digital payment infrastructure at acquiring merchant sites, OCL shall provide various tools for accepting in-store payments to all units onboarded. It will include All-in-one QR (free of cost), Sound Box and All-in-one POS device with special prices/EMI options. QR Code and sound boxes shall be co-branded with ODOP Programme logo.
- ii. OCL shall provide artisans with QR codes (for accepting digital payments) and sound boxes (a device that speaks out the amount whenever it is received in an artisan's account) to enable them to accept digital payments. After 3 months of accepting digital payments through QR codes and sound boxes, the artisan shall become eligible to receive digital loans based on the volume and value of digital transactions undertaken. Initially, the QR codes and sound boxes targeted to be made available to 50,000 artisans in Varanasi and may subsequently be extended to remaining artisans throughout Uttar Pradesh.
- iii. **Business Khata:** OCL shall provide ODOP Artisans / Manufacturers / Traders / MSMEs digital ledger to help them record Udhaar, Track Cash & Card Sales, Collect Online Payments from customers.

Banking

- iv. **Paytm Salary account:** OCL shall help in opening zero balance salary accounts through PPBL (Paytm Payment Bank Limited), integrated with Paytm app and Paytm UPI transactions to enable seamless ecosystem for ODOP Artisans / Manufacturers / Traders / MSMEs and getting them into formal banking fold.
- v. **Auto debit FD feature:** OCL shall provide a special facility to PPBL account holders to automatically convert any amount above INR 25,000/- as FD (Fixed Deposit) in partnership with IndusInd Bank. The beneficiary can break this FD anytime without any penal charges, with benefit of best-in-class FD interest rates.



Benefits to Micro, Small & Medium Enterprises (As per new definition of MSMEs notified by Ministry of Micro, Small & Medium Enterprises via CG-DL-E-01062020-219680)

- vi. **Paytm Payouts:** OCL shall provide this special feature of paying to vendors, suppliers, utility payments etc., with **0% commission on payouts of up to INR 1 Crore**. The limited access of payout feature shall be provided free of cost and full features and any API integration shall be provided at curated prices for ODOP programme.
- vii. **Payment Gateway Services:** For MSMEs, OCL shall provide **commission free payments of up to GMV (Gross Merchant Value) INR 12 lakhs for a period of 1 year** through Paytm Payment Gateway to promote digital payments, wherein MSME's app and/or websites shall be linked with Paytm Payment Gateway to enable seamless acceptance of online payments.
- viii. **Paytm Mini Apps:** OCL shall provide the **free listing** of those MSMEs operating in B2C sectors and having their own functional app/website on 'Paytm Mini app store', with 0% commission on all commerce transactions done via UPI/Rupay powered debit cards on mini-app store for a period of 1 year (MDR Charges and/or other charges as mandated by National Payment Corporation of India would apply).
- ix. **Paytm Ads:** OCL shall promote ODOP Products of Uttar Pradesh by advertising them on appropriate media platforms. Besides, it shall offer 50% discount on advertisement to ODOP Product aligned MSMEs artisans, traders & manufacturers with 150 million + active monthly user base (capped at a total discount of \$1 Million).

Other Responsibilities

- x. OCL shall strive to best of its efforts to offer relevant ODOP branding and success stories of the MoU on its various social media platforms, wherever applicable and deemed suitable
- xi. OCL operates through PSAs (Paytm Service Agents) at ground level, which is in regular connect with the merchants for helping them onboard and resolve operational issues (if any). OCL will take the help of its PSAs to connect and cover a large base of ODOP clusters.
- xii. OCL shall also share the district-wise details of PSA Heads for better coordination at ground level.

c) GoUP shall assist OCL in achieving the above-mentioned objectives by

- i. ODOP Cell shall share district-wise contact details of artisans with Paytm, to check their onboarding prospects.
- ii. ODOP Cell & GoUP shall facilitate OCL to procure all necessary approvals/registrations / clearances etc. from the concerned departments of the state, as per existing rules and regulations of Govt. of Uttar Pradesh.



- d) This MoU is not intended to provide any basis for investment or partnership decisions at the present or in the future, outside of the scope mentioned in this MoU. None of the provisions shall be deemed to be binding on either party.

II. PROJECT TIMELINE

This MoU will commence from 02 June 2022 and will continue for 1 year until any party desires to terminate this MOU by giving prior notice to the other Party as per provision of Article VI of this MOU.

III. OPERATIONS AND CO-ORDINATIONS

- a) Each party will use information that is made available by the other party under this MOU solely for achieving the purpose of this MOU. However, if such purpose involves disclosing such information to a third party or publishing such information in any form, then the prior written consent of the other party should be obtained.
- b) Each Party will bear its own costs in carrying out the purposes stated herein. Any sharing of cost for any special events or purposes may be as mentioned in this MOU or as mutually agreed between the parties.
- c) GoUP through its department of MSME & Export Promotion along with OCL shall mutually acknowledge the contribution of each other, wherever possible, on their website and media platforms including print, TV and digital media.
- d) Any amendment in this MoU will be made in writing by mutual consent of both the parties.
- e) Both parties to have quarterly/half yearly meetings to review the success of onboarding and digital financial inclusion as stated in this MOU

IV. FORCE MAJEURE

- a) For the purpose of this MoU 'force Majeure' means an event which is beyond the reasonable control of a Party, either GoUP through its department of MSME & Export Promotion or OCL and which makes a party's performance regarding its obligations hereunder impossible or so impracticable as reasonably to be considered impossible in the circumstances and include, but is not limited to war, riots, civil disorder, earthquakes, fire, explosions, storm, flood, and other adverse weather conditions, strikes, lock-outs, or other similar actions, political uncertainties, change in priorities in the National and State missions, which is not within the power of the Party invoking "force majeure" to prevent any other action by the other Party.
- b) If any Party finds itself incapable to perform its duty due to Force Majeure, it will give notice to other Party that Force Majeure event has arisen.
- c) The failure of any Party, either GoUP through its department of MSME & Export Promotion or OCL to fulfil any of its obligations is hereunder shall not be considered to be the breach of or default under this MoU in so far as such inability arises from an event of Force Majeure provided that the Party affected by such event should take all reasonable precautions and due care for reasonably carrying out the terms and condition of this MoU.



- d) In the event of a Force Majeure, GoUP, through its department of MSME & Export Promotion and OCL shall consult each other with a view to agreeing on appropriate measures to be taken under the circumstances.

V. INTELLECTUAL PROPERTY

Nothing contained in this MoU shall be construed as granting or conferring, whether by sale, license or otherwise, to a Party (or any of its representatives) any right, title or interest in or to Intellectual Property Rights of the other Party or its affiliates, related parties or licensors. For the purpose of this MoU, "Intellectual Property Rights" shall mean all rights in inventions, patents, trademarks, service marks, trade names, copyrights, data rights, database rights, design rights, domain names, trade secrets, know-how and other intellectual property rights (whether registered or unregistered) and all applications for any of them, anywhere in the world.

Each Party grants to the other a non-exclusive, non-transferable, royalty-free right to display/usage of such Party's respective trademarks, service marks, and logos (the "Trademarks"), for the purposes of this MoU. Neither Party shall acquire any rights of ownership to any copyrights, patents, trade secrets, trademarks or other intellectual property of the other Party. On termination of this MoU, each Party shall cease using the Trademarks of the other Party.

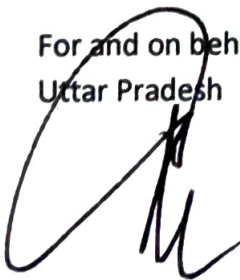
VI. TERMINATION This MoU can be terminated by either side with a written notice of 30 days. The termination/expiration of this MOU shall be without prejudice to any rights or obligations of the Parties that may have accrued prior to the termination.

VII. DISPUTES RESOLUTION

Any dispute between GoUP through its department of MSME & Export Promotion & ODOP Cell and OCL on any matter that has relevance to the smooth and effective implementation of the MoU shall be settled through mutual discussion.

IN WITNESS WHEREOF the Parties hereto have signed this MoU on the day and year first above written.

For and on behalf of Governor of
Uttar Pradesh



(Navneet Sehgal)

For and on behalf of OCL



(Dharmender Jhamb, VP)